

BoJ preview: Anticipating a hawkish hold

CENTRAL BANK WATCH

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OUR KEY VIEWS

- We expect the Bank of Japan to hold the policy rate steady at 1.00% at the upcoming 30–31 July meeting. However, we think the BoJ will adopt a hawkish communication stance due to upside inflation risks and the need to keep the FX market in check.
- We expect the BoJ to explain that the focus of monetary policy has shifted: the challenge is no longer driving underlying inflation upward, but rather containing the rising underlying rate at 2%.
- Our base case is still for the next BoJ policy-rate hike to take place in October, but we believe the probability of a September hike is now approaching 50/50.

Policy to remain unchanged but communication to turn hawkish: We believe the probability of a back-to-back rate hike at the Bank of Japan's Monetary Policy Meeting on 30–31 July is quite low. However, we expect the Outlook Report to raise the economic growth forecasts and change the risk balance back to neutral. Regarding inflation, we think the BoJ will reiterate its June view that "there is a risk of underlying CPI inflation deviating upward to a level above the price stability target of 2%".

While we do not expect a clear indication of the timing of future rate hikes, we believe the Outlook Report will suggest that the justification for maintaining an accommodative financial environment is diminishing. This could consequently imply an acceleration from the previous semi-annual pace of rate hikes. Given also the need to keep the foreign exchange market in check, we expect the BoJ's communication – including the tone of the Governor's press conference – to become more hawkish, which will likely increase market vigilance regarding the risk of an accelerated hiking cycle.

We expect board member Hajime Takata, who proposed a back-to-back rate hike in January, to propose a hike again at this meeting.

Growth forecasts to be raised: In its April Outlook Report, the BoJ significantly lowered its FY2026 forecast for Japan's GDP growth from 1.0% to 0.5% due to escalating tensions in the Middle East. While uncertainty remains high as the re-intensification of the Middle East conflict has caused crude oil prices to rebound, we note that the risk of a dramatic economic downturn due to severe supply-chain disruptions has decreased, as alternative procurement of oil and petroleum products has progressed.

On the demand side, the AI-related investment boom, centred in the US, has clearly brought significant benefits to Japan, particularly in the capital goods, electronic components and device manufacturing sectors. These benefits extend beyond volume: export prices for electrical and electronic equipment have risen nearly 30% year-on-year in contract currency terms, with overall export price increases exceeding 10%. This has substantially offset the deterioration in terms of trade caused by rising energy prices. Indeed, the June Tankan survey showed a significant improvement in business conditions for manufacturing.

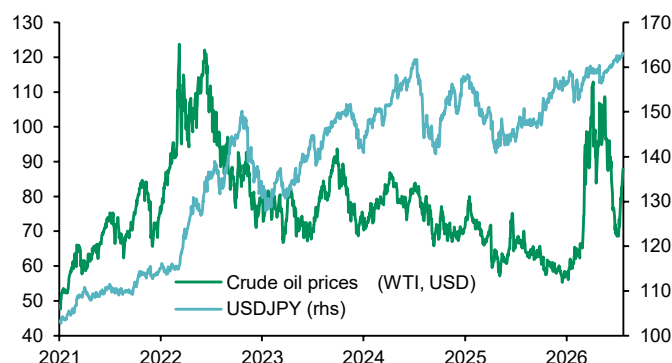
In the domestic household sector, although sentiment deteriorated following the escalation of Middle East tensions, personal consumption has strengthened over the past few months. While factors such as increased automobile sales due to tax reforms and demand surge for air conditioners ahead of

Fig. 1: Forecasts of majority of BoJ board members

	Real GDP (% y/y)	CPI (ex fresh food)	CPI (ex fresh food and energy)
Fiscal 2026			
July	0.8	2.5	2.4
April	0.5	2.8	2.6
Fiscal 2027			
July	0.9	2.3	2.5
April	0.7	2.3	2.6
Fiscal 2028			
July	0.8	2.0	2.2
April	0.8	2.0	2.2

Sources: BoJ, BNP Paribas

Fig. 2: Crude oil price and USDJPY



Sources: Bloomberg, BNP Paribas

the 2027 energy-efficiency standards have played a role, we observe that consumption remains resilient even when excluding these effects. We believe fiscal support such as energy subsidies, the ongoing wage growth and the wealth effect from high stock prices have contributed to this resilience.

Economic risk balance to return to neutral: While the risk of severe supply constraints declines, the demand side remains robust due to the AI investment boom and continued fiscal support, and corporate profits seem to be holding up. We, therefore, expect the BoJ to conclude that the probability of an economic recession triggered by deteriorating terms of trade has decreased. Consequently, we think the BoJ will lift its forecasts for Japan's GDP growth, particularly for FY2026, and change the risk balance for the economy back to neutral.

While it remains possible that the BoJ might maintain a view of greater downside risks due to Middle East uncertainties, the Summary of Opinions at the June meeting showed several members were focusing on the unexpected strength of AI-related demand. We believe most policymakers now view the situation as one where they should no longer merely be guarding against downside risks.

Vigilance regarding upside risks to underlying inflation: We expect the BoJ to lower its FY2026 inflation projection as CPI inflation has been somewhat soft since the April meeting partly due to policy factors; the government has decided to provide electricity and gas subsidies over the summer; and crude oil prices fell faster than assumed at the April meeting. However, oil prices (WTI) have recently risen to around USD90, and futures pricing for the rest of this year has become a little higher than the pricing as at the April meeting. Furthermore, the yen's weakness continues, and cost pressures are intensifying for durable goods due to soaring semiconductor prices.

Moreover, the June Tankan showed a sharp jump in the one-year-ahead sales price outlook to 3.7% (up from 3.1% in March), the highest level since the survey began and likely exceeding the BoJ's expectations, in our view. This serves as evidence that corporate pricing behaviour is becoming more aggressive, suggesting that the price pass-through will proceed swiftly. The improved demand-side picture thanks to the AI boom further bolsters this probability. Therefore, we expect the revision to the FY2026 inflation forecast to be modest, with the outlook for subsequent years remaining largely unchanged.

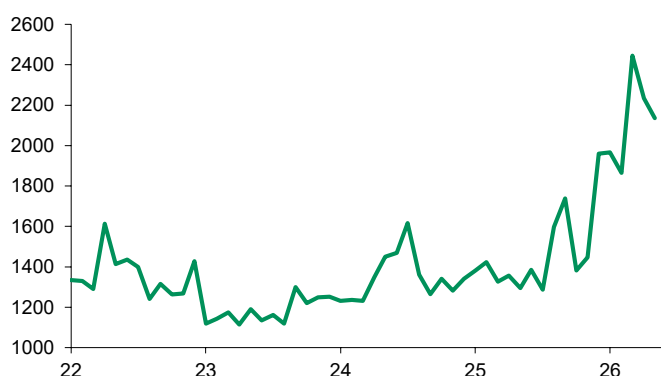
The June Tankan also indicated that medium-term inflation expectations among corporations have risen to the high 2% range. Similarly, household inflation expectations have risen in the BoJ's latest quarterly survey. The BoJ has long maintained that inflation expectations in Japan tend to be "adaptive". As actual inflation is expected to rise again, we believe there is growing concern within the BoJ that inflation expectations could become entrenched above 2%.

Probably no change in timing for underlying inflation hitting 2%: We believe it is unlikely that the BoJ will state in this Outlook Report that the "underlying rate of inflation" has already reached 2%. Although three of the nine policymakers – Hajime Takata, Naoki Tamura and Junko Koeda – have already indicated that the underlying rate has roughly reached 2%, an official BoJ stance stating this would create inconsistency with maintaining an accommodative financial environment. In other words, it would be an admission that the BoJ's monetary policy faces a high risk of falling "behind the curve".

Therefore, we expect the BoJ to maintain its nuanced view that the underlying inflation rate will reach 2% between the second half of FY2026 and FY2027, while emphasizing that the economy is in a phase where the BoJ must guard against the risk of it overshooting that target. We think the BoJ leadership will wait until the policy rate approaches a level considered "neutral" before officially declaring that underlying inflation has reached 2%.

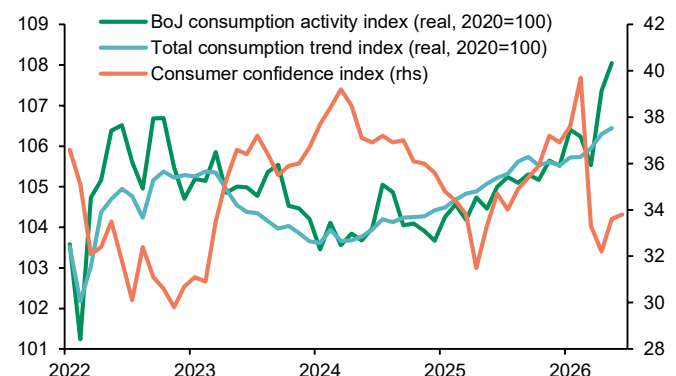
Entering a new phase: We believe the BoJ's decision at the June meeting to point out the upside risks to underlying inflation is significant. Previously, the central bank maintained that because the

Fig. 3: Overseas machinery orders (JPYbn)



Sources: Cabinet Office, BNP Paribas

Fig. 4: Consumer confidence and private consumption



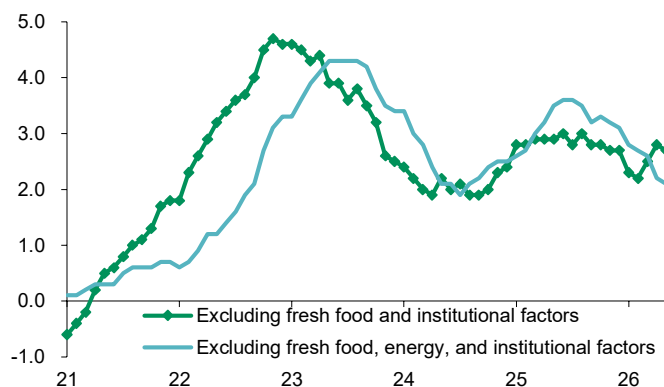
Sources: Cabinet Office, BoJ, MIC, BNP Paribas

underlying rate was below 2%, it needed to keep financial conditions accommodative to push it up, resulting in an extremely gradual pace of rate hikes even as actual inflation stayed above 2%. However, even if the underlying rate is slightly below 2% but the risk of it overshooting 2% is rising, we think there is an increasing necessity to raise the policy rate towards a neutral level as early as possible. We believe the BoJ is beginning to feel this necessity, which explains its emphasis on upside risks.

Given the high levels of uncertainty, we do not expect the BoJ governor to provide a strong indication of the timing of the next hike during the press conference. However, we expect the governor to explain that the challenge in monetary policy has shifted from driving underlying inflation up to how to containing the rising underlying inflation at 2%. This would imply an acceleration from the previous semi-annual hiking pace. With the yen also remaining under pressure, we think the governor will try not to sound dovish.

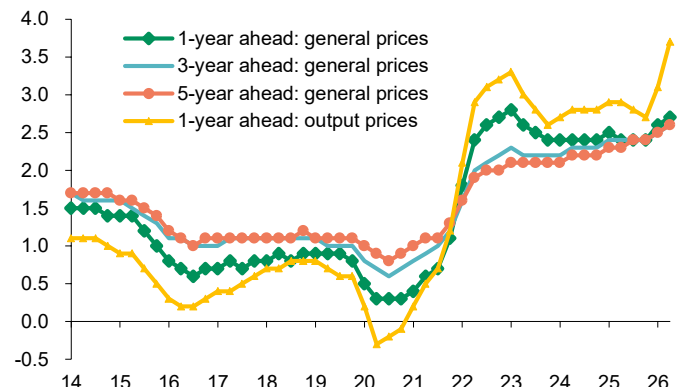
While the Japanese government's annual Basic Policy document has added considerations for the BoJ's independence, we believe the Takaichi administration's preference for low interest rates remains fundamentally unchanged (see [Japan: Persistent reflationism in an inflationary era](#)). However, with the US Federal Reserve also likely heading towards rate hikes, maintaining the previous semi-annual pace could well trigger further yen depreciation and heighten the risk of underlying inflation overshooting. Our current base case is that the pace of rate hikes will accelerate to once in four to five months, with the next hike coming in October. But we believe the probability of a September hike is approaching 50/50, and the tone of the governor's remarks is likely to avoid ruling out the possibility of a September hike.

Fig. 5: Core CPI excluding institutional factors (% y/y)



Sources: BoJ, BNP Paribas

Fig. 6: Inflation outlook of enterprises (%)



Sources: BoJ, BNP Paribas

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